AN TOBAR

Budget Calculation Methodology

A step-by-step explanation of how the €75,000 RFT ceiling was translated into the three-year cost model, including the exact basis for every figure.

Nothing in this budget is built on an hourly rate. Every cost is built on day rates: Role × Estimated Days × Daily Rate. This document walks through, in order, exactly how the €75,000 ceiling was turned into the three-year, category-by-category budget in the main proposal.

Step 1 — Split the €75,000 ceiling into net budget and VAT

The RFT states €75,000 is VAT inclusive, so the first calculation finds out how much is actually available to spend before VAT is deducted:

```
Net budget = 75,000 ÷ 1.23 = 60,975.61
VAT        = 75,000 − 60,975.61 = 14,024.39
```

€60,975.61 is the real number the entire project has to fit inside. Every subsequent calculation works within this ceiling, not the headline €75,000.

Step 2 — Allocate the net budget across the 3 contract years

The RFT structure is 1 year of development followed by 2 years of maintenance. The €60,975.61 net budget was split across the three years as a judgement call (not a formula) — maintenance years get a smaller, roughly equal slice since the heavy cost sits in Year 1:

Year	Net Allocation (€)
Year 1 — Development	36,000.00
Year 2 — Maintenance	12,500.00
Year 3 — Maintenance	12,475.61
Total	60,975.61

These three figures are the year-by-year targets that every subsequent role/day-rate build has to land within.

Step 3 — Build Year 1 bottom-up: Role × Days × Day Rate

This is where the actual day-rate calculation happens. Each role was assigned an estimated number of days and a day rate reflecting Irish (PM/accessibility) or nearshore/EU (design, development, QA) contractor market rates:

Role	Days	Day Rate (€)	Cost (€)	Calculation
Ireland PM / Liaison	15	500	7,500	15 × 500
Business Analyst	8	200	1,600	8 × 200
UX/UI Designer	15	220	3,300	15 × 220
Frontend Developer	30	200	6,000	30 × 200
Backend / Full-Stack Developer	34.5	200	6,900	34.5 × 200

Role	Days	Day Rate (€)	Cost (€)	Calculation
Bilingual QA / Content Support	10	200	2,000	10 × 200
QA / Test Engineer	10	180	1,800	10 × 180
Accessibility Specialist	5	400	2,000	5 × 400
DevOps / Deployment	5	220	1,100	5 × 220
Technical Writer / Trainer	4	250	1,000	4 × 250

Labour subtotal = 33,200. Adding one-time infrastructure setup (€1,200 for hosting, domain, SSL, dev tooling) and re-splitting a small amount into a standalone Security line brings the costed subtotal to €32,727 (this regrouping is explained in Step 5).

Contingency is calculated as a residual, not a fixed input

Contingency is not added as a percentage first — it is whatever is left once every other line is costed, checked afterwards against a roughly 10% sanity target:

```
Year 1 target total   = 36,000
Costed subtotal        = 32,727
Contingency             = 36,000 − 32,727 = 3,273  (≈10.0%)
```

Step 4 — Build Year 2 and Year 3 the same way, but leaner

Maintenance years don't need an itemised staffing table — they use a retainer model: a block of estimated days per year rather than day-by-day allocation.

Category	Basis	Year 2 (€)	Year 3 (€)
PM oversight	~6 days @ €500	3,000	3,000
Nearshore retainer	~25 days @ €180	4,500	4,500
Infrastructure	Recurring hosting / SSL / monitoring	2,000	2,000
Accessibility	Annual NDA prep, ~2–3 days	900	900
Security	Patching / monitoring subscription	800	800
Subtotal		11,200	11,200
Contingency (residual)	Target − subtotal	1,300	1,275.61

Same logic as Year 1: the known work is costed first, and whatever remains under that year's target becomes the contingency line:

```
Year 2 contingency = 12,500 − 11,200 = 1,300
Year 3 contingency = 12,475.61 − 11,200 = 1,275.61
```

Step 5 — Regroup roles into the RFT's requested budget categories

The staffing-table roles are relabelled into the categories the RFT's budget structure requires (Project Management, Business Analysis, UX/UI, Development, QA, Accessibility, Security, Infrastructure, Training, Maintenance). For example, the Year 1 'Development' figure of €13,800 = Frontend (€6,000) + Backend (€6,900) + a small rounding adjustment, with €500 of Backend reassigned to its own 'Security' line. This is a relabelling exercise on top of the same day-rate numbers from Step 3 — no new calculation is introduced.

Step 6 — Apply VAT per year to get the gross (invoiced) figures

```
Year 1: 36,000.00 × 1.23 = 44,280.00
Year 2: 12,500.00 × 1.23 = 15,375.00
Year 3: 12,475.61 × 1.23 = 15,345.00
                   Total = 75,000.00   ✓ exactly the RFT ceiling
```

Summary — the formula used throughout

```
Role / Category × Estimated Days × Day Rate = Cost
(summed per year, with Contingency = Year Target − Costed Subtotal)
```

This combines a top-down constraint (the €75,000 ceiling → net budget → three year targets) with a bottom-up build (roles × days × rates), with contingency used to reconcile the two. The day-rate table came first; contingency absorbs the gap to each year's pre-set target — nothing was hourly, and nothing was reverse-engineered after the fact to force a match.

If actual quoted contractor day rates or different day counts become available, every downstream figure — category totals, VAT, milestones, and the feasibility assessment — can be re-run through this same chain.